

Subject Code	AF5638
Subject Title	Macroeconomics
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Basic knowledge of calculus and intermediate microeconomics is presumed.
Objectives	The course contributes to Program Learning Outcome 1 by providing a rigorous introduction to modern macroeconomics. It aims to deliver a comprehensive overview of macroeconomic theory and a primer into frontier macroeconomic research.
Intended Learning Outcomes	Upon completion of this course, students will: 1. gain a comprehensive understanding of modern macroeconomics theory and its micro-foundations 2. learn to combine economic theories and data to conduct macroeconomic analyses 3. be able to analyze and evaluate real-world current economic affairs, policies, and macroeconomic trends 4. be familiarized with the frontier research in macroeconomics
Subject Synopsis/ Indicative Syllabus	1. Micro-foundations of Macroeconomics a. Dynamic programming / recursive optimization b. Household: consumption, saving, and labor supply c. Firm: investment, borrowing, entry and exit 2. Long-run Economic Growth a. Empirics of growth and growth accounting b. Solow growth model c. Introduction to endogenous growth models 3. Labor Market a. Labor supply and demand b. Unemployment: theory and empirics c. Human capital d. Search and matching frictions 4. Business Cycles a. Empirics on business cycles b. Simple models of short-run fluctuations (IS and ADAS) c. Real business cycle (RBC) models d. Welfare costs of business cycles e. Uncertainty shocks

[illegible]

	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Midterm exam – Students will be assessed on their understanding of the first half of knowledge points. Group presentation and written report – Students will apply tools and skills acquired in the course to analyze a topic related to course content. Research findings will be assessed through student presentations and written reports. Final exam – Students will be assessed on their overall understanding of macroeconomic theory and applications.	
Student Study Effort Expected	Class contact:	
	▪ Lectures	39 Hrs.
	Other student study effort:	
	▪ Consultation of textbook and references	39 Hrs.
	▪ Problem solving	39 Hrs.
	Total student study effort	117 Hrs.

Reading List and References	The required textbook is: • Jones, Charles I. (2021). <i>Macroeconomics</i>. W. W. Norton & Company. • Romer, David (2019). <i>Advanced Macroeconomics (5th edition)</i>. McGraw-Hill Education. Students interested in more advanced treatments in macroeconomics in general may consult: • Blanchard, O. J., & Fischer, S. (2007). <i>Lectures on Macroeconomics</i>. The MIT Press. • Ljungqvist, S., & Sargent, T. (2012). <i>Recursive Macroeconomic Theory</i>. The MIT Press • McCandless, George (2008). <i>The ABCs of RBCs</i>. Harvard University Press. • Gali, Jordi (2015). <i>Monetary Policy, Inflation, and the Business Cycle</i>. Princeton University Press. • Wickens, Michael (2011). <i>Macroeconomic Theory: A Dynamic General Equilibrium Approach (2nd edition)</i>. Princeton University Press. Students interested in more advanced and extensive treatments of macro growth may consult: • Acemoglu, Daron (2009). <i>Introduction to Modern Economic Growth</i>. Princeton University Press. • Barro, R., & Sala-i-Martin, X. (2004). <i>Economic Growth</i>. The MIT Press. Other references and reading materials will be provided in class.
---	--